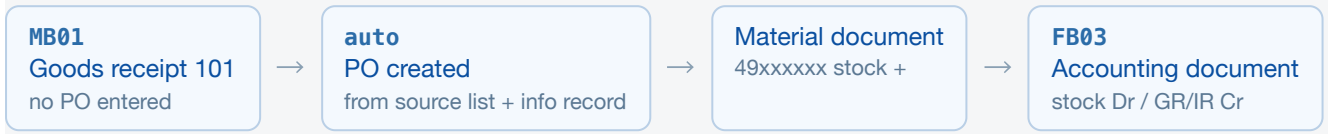
The normal sequence is order first, receipt second. In reality someone always sends goods ahead: a verbal order, an urgent top-up, a vendor shipping on their own initiative. If the warehouse can only say "no order, no receipt", the pallet sits at the gate. SAP's answer is to let **movement type 101 create the purchase order itself** — provided four switches are on; miss one and you are back to keying an order number by hand.

1. How it works: the receipt looks up a source and creates the PO

In MB01 (goods movement) you choose movement type 101 and enter material / plant / quantity / vendor, **leaving the purchase order field empty**. The system then looks for a source in this order: the purchasing view of the material master → the source list of the plant → the price in the info record. If all three exist and all four "allow automatic creation" switches are on, the system creates a purchase order and posts the receipt against it, and the status bar shows **both the material document number and the automatically created purchase order number**.



2. The six prerequisites (miss one and it fails — set them in this order)

#	Where to set it	What to do	If it is missing
1	IMG: Materials Management → Inventory Management → Goods Receipt → Create purchase order automatically (or OMJJ, movement type)	Tick the third indicator, Automatic purchase order, on the 101 GR receipt	MB01 reports "Please enter purchase order" and creates nothing
2	IMG: Enterprise Structure → Assignment → Materials Management → Assign standard purchasing organization to plant	Plant 1710 must have a default purchasing organization	The system does not know which purchasing organization to use and stops

3	Vendor master (XK02 / BP), purchasing data → Control data	Tick Automatic purchase order	Message: automatic purchasing is not set for the vendor
4	IMG: Materials Management → Purchasing → Source List → Define source list requirements at plant level	Tick Source list for the plant 1710 line	The system never reads the source list, so neither vendor nor price is found
5	ME01 (source list)	Maintain the allowed vendors for material + plant (a fixed source can be set)	Message: no valid source found — in practice the most critical of the six
6	MM02 → Purchasing view	Tick Automatic purchase order	The system does not consider this material eligible for automatic creation

One more implicit prerequisite

The info record (ME11) must exist with the right price, otherwise the automatically created PO has no net price, the receipt is valued at 0 and the accounting document carries nothing. The source document puts it plainly: with the settings above in place, when you post a 101 receipt in MB01 without entering a purchase order, the system creates one for you — four switches + source list + price, not one of them optional.

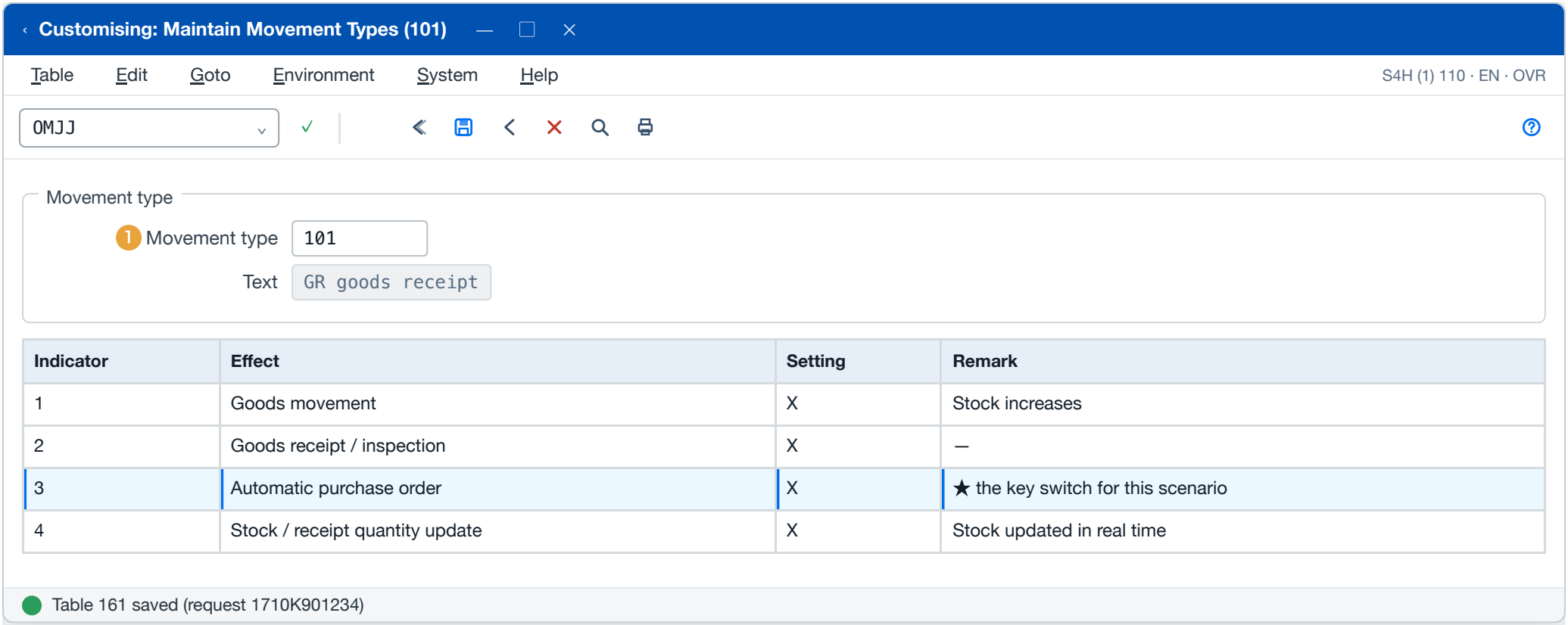


Figure 5-1 The IMG activity Create purchase order automatically lands on exactly this row of this table: the **third indicator** of 101 has to be ticked. Saving it generates a request number, and this is configuration (usually done by a consultant or key user, business users have no authorisation) — for practice it is enough to know where to look.

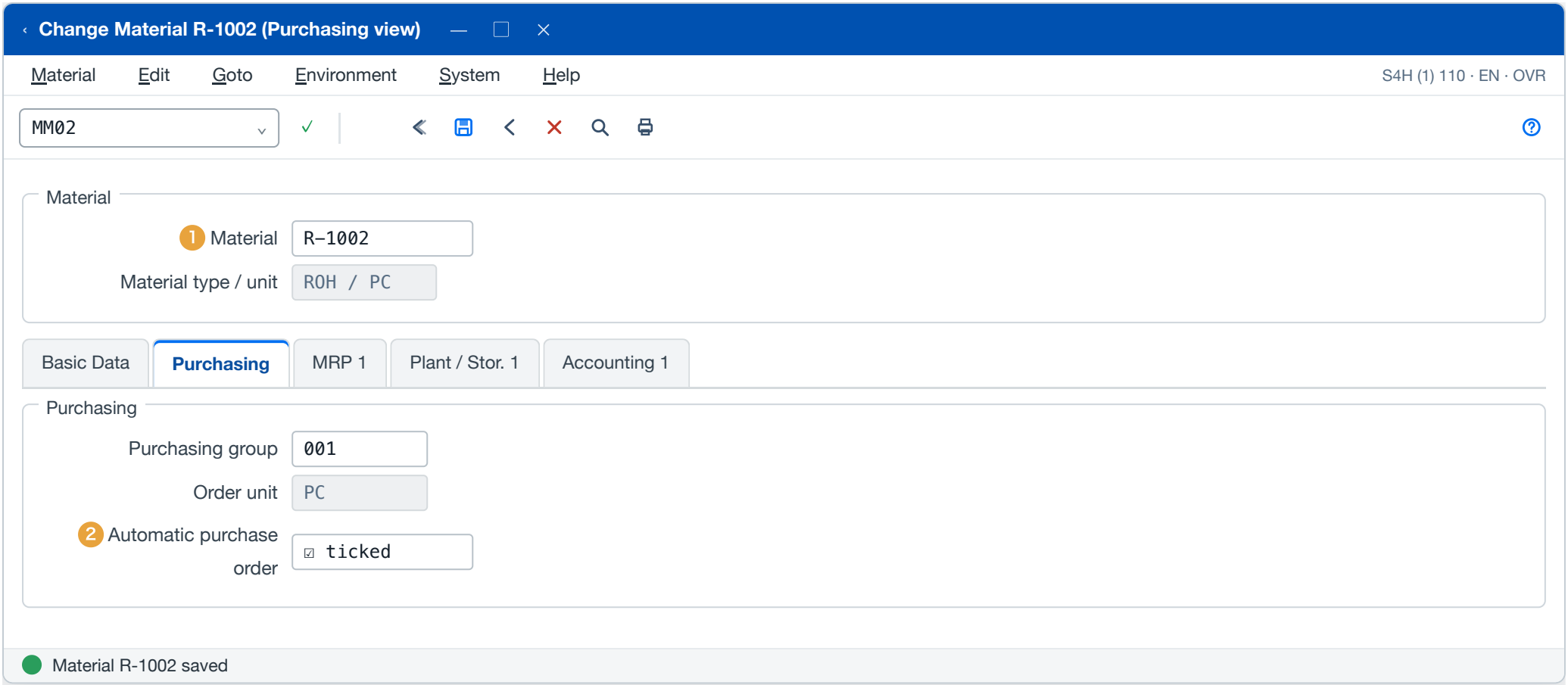


Figure 5-2 Tick **Automatic purchase order** in the Purchasing view of MM02. Note that this is a switch at material level: other materials in the same plant are unaffected; and it also has to be ticked once at **vendor** level (Figure 5-3) — only both together take effect.

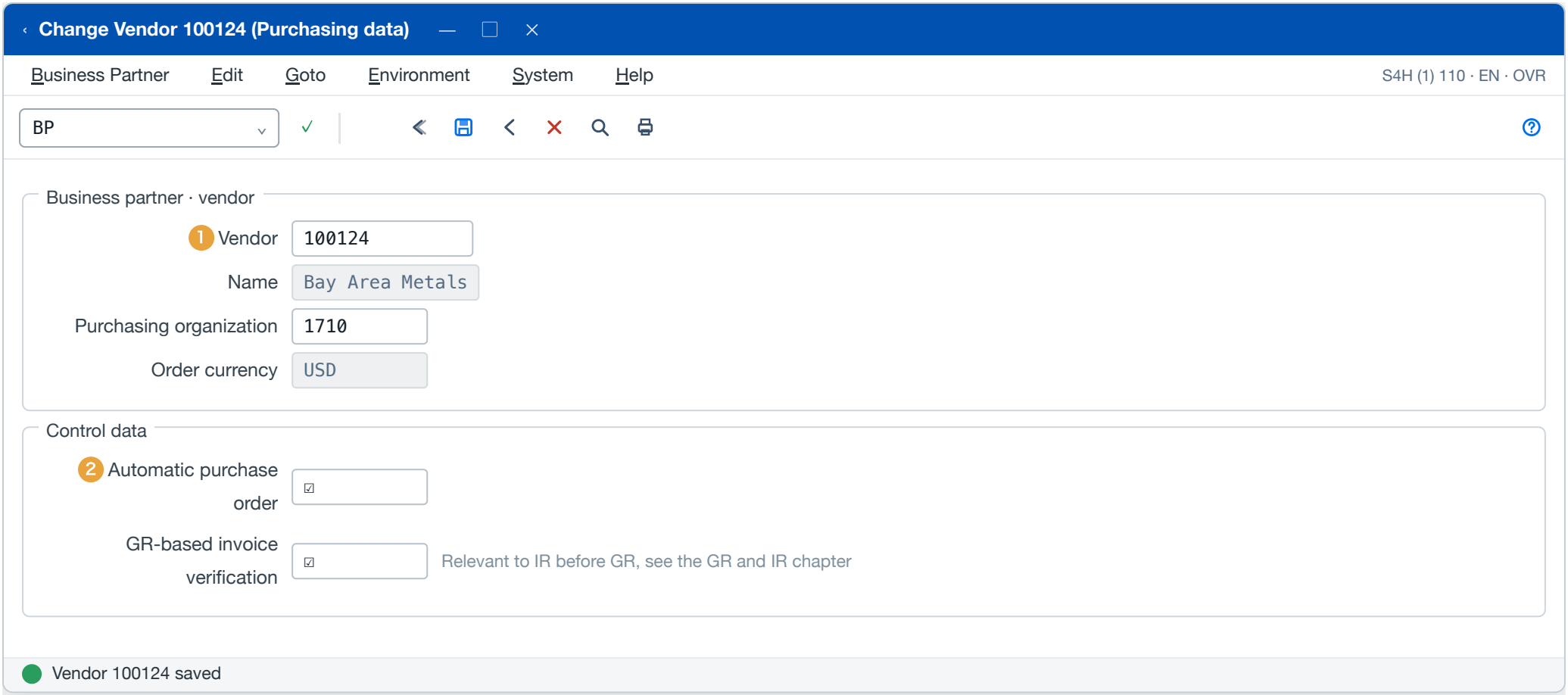


Figure 5-3 Control data in the vendor master carries **Automatic purchase order** as well. The SAP switches come in three layers — movement type + material + vendor — and facilities and purchasing often own one layer each, so after setting them always verify with a test receipt.

3. Execution: post the receipt in MB01 without an order number

1. Type **MB01** in the command field and press Enter. (MIGO can do it in 8.10 too, but most courses demonstrate automatic PO creation in MB01 — fewer fields, easier to read.) `MB01`

2. Enter movement type **101** and press Enter; the system opens the GR goods receipt screen. `Enter`

3. Keep the document date as today (or inside the current period) and **leave the purchase order field empty**. `Tab`

4. Material **R-1002**, plant **1710**, storage location **0002**, quantity **50**, vendor **100124**. `F4`

5. Press Enter to check: with no errors the status bar only says the check passed; click ✓ to post. `Ctrl+S`

6. Note two numbers: material document **4900000002** and the automatically created purchase order **4500000124** (the ranges depend on how many documents you posted before — trust your own screen). –

7. Open the generated PO in **ME23N**: the item reads R-1002 / 50 PC / 180.00 USD, net value 9,000.00 USD. `ME23N`

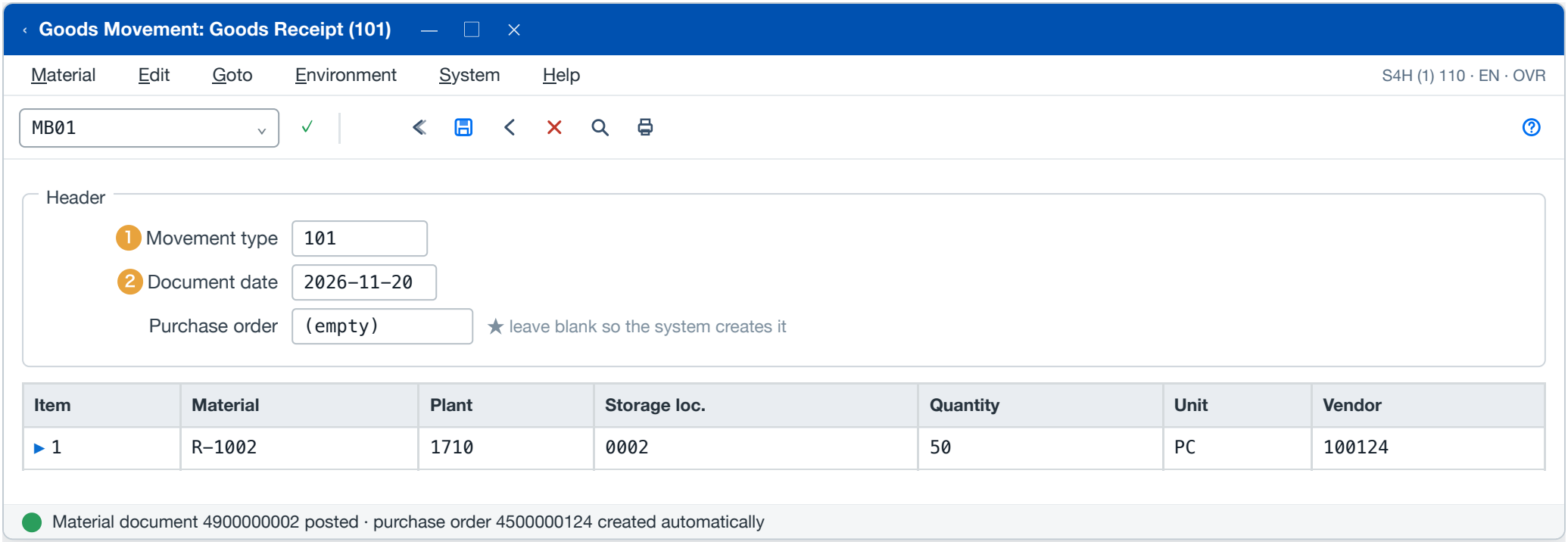


Figure 5-4 The 101 screen in MB01. **Leaving the purchase order empty** is the whole point; as soon as you enter an order number the system runs an ordinary receipt and creates nothing. Two numbers in the status bar mean automatic PO creation worked.

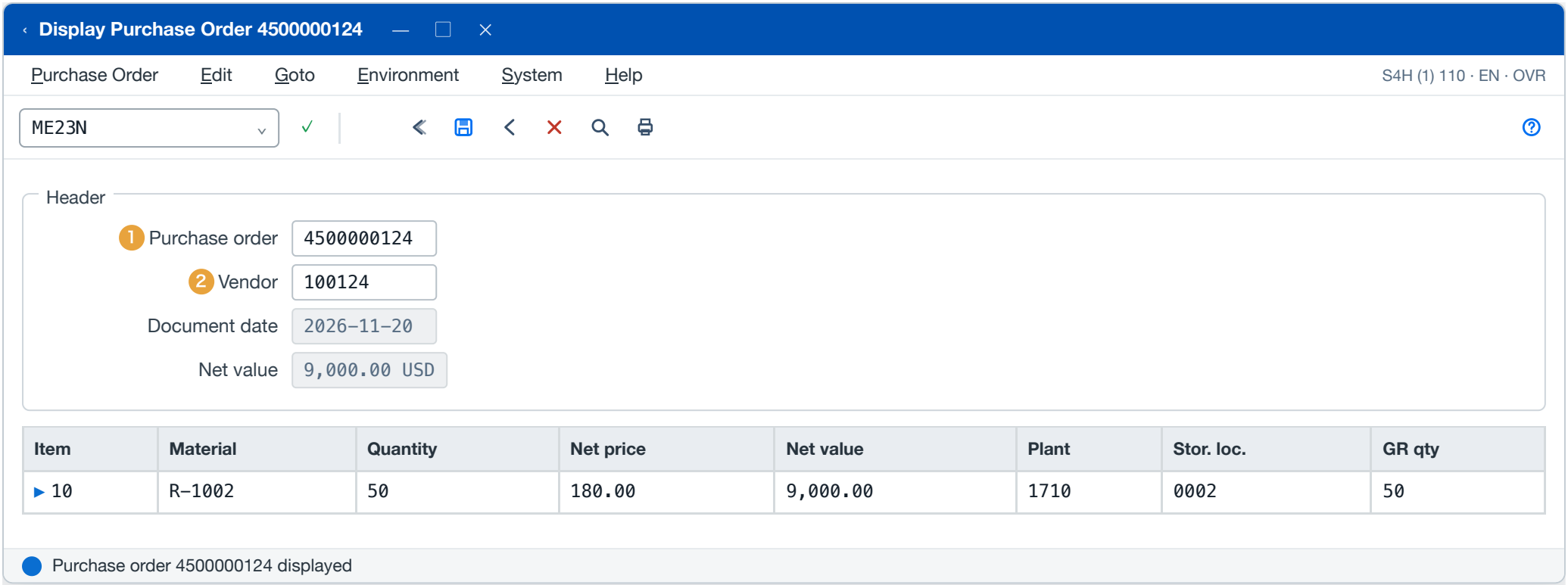
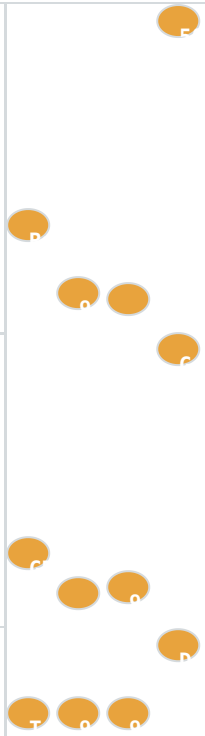


Figure 5-5 The generated PO is indistinguishable from a hand-made one: it has a vendor, a net price (from the info record) and the received quantity posted back as 50. The only difference is that **nobody was ever in ME21N** — so always confirm it in the order history, or someone will ask at month-end where the document came from.

4. Accounting: automatic creation changes no entry, only whether there is a reference

Account	Name	Debit	Credit	Explanation

140100	
191100	

Automatic PO creation only solves where the document comes from; the posting logic is still a standard receipt: stock up, GR/IR raised. When the invoice arrives in MIRO, GR/IR is cleared and turned into payables. If no invoice ever arrives for this PO, GR/IR stays open — which is exactly what the month-end GR/IR balance report (MB5S) has to explain.

5. Posting periods: why last month's goods cannot be received this month

A goods receipt writes to the material ledger and to accounting at the same time, so **both periods must be open**: the accounting period (OB52) and the material period (MMRV/MMPV). Forgetting to open the new period after closing the month is the wall beginners hit most often, and the error looks unrelated to the business.

Object	Transaction	What it controls	Typical error

Accounting period	OB52	Opens periods 1–12 and the 13–16 adjustment periods per account type (K vendor / A asset / D customer / M material / S G/L / V contract)	Posting period is not open / period is closed
Period lock	OKP1	Locks plan and actual cost periods per controlling area	Period is locked, posting not possible
Material period	MMRV / MMPV	Shows the current material period and whether the previous one may still be posted; MMPV closes one period at a time	Material period 11/2026 is not open
Fiscal year variant	OB29	Decides how many posting periods a year has (commonly 12 + 4 special periods)	Period number outside the fiscal year variant

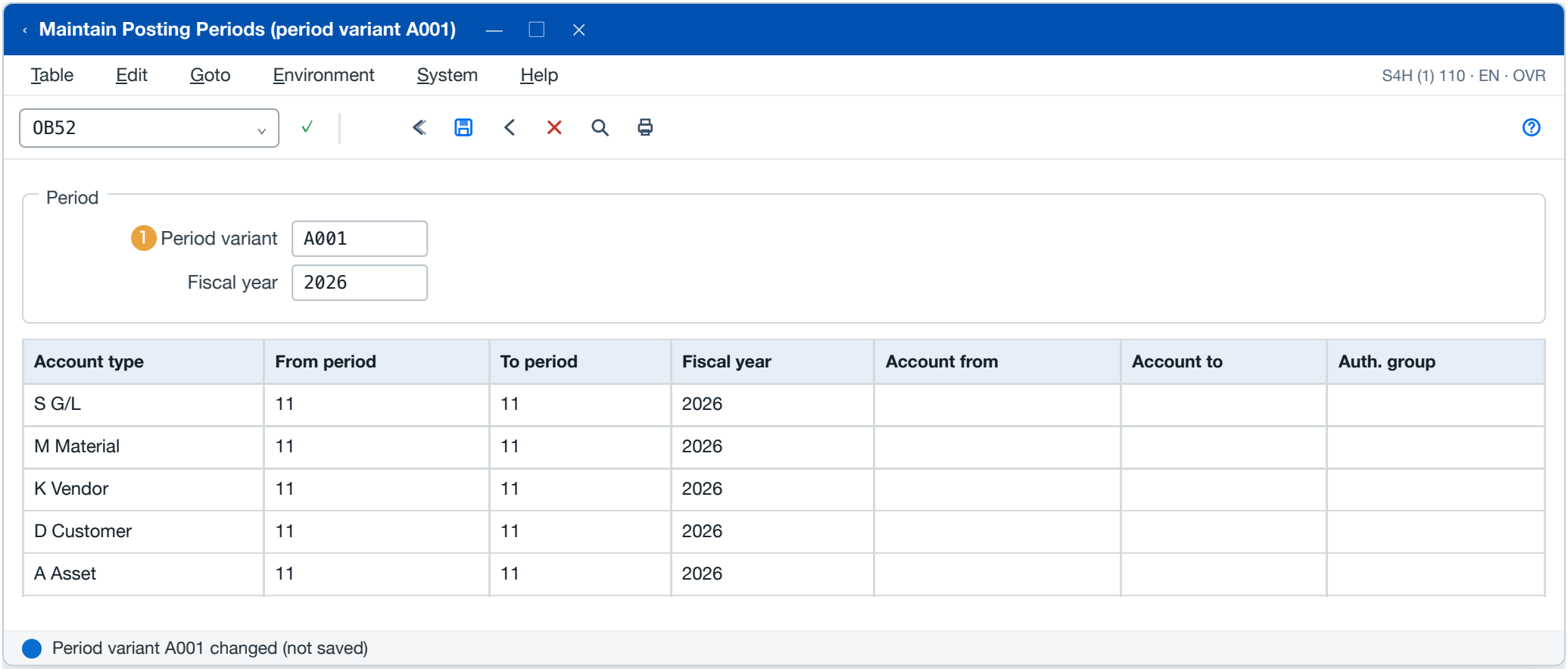


Figure 5-6 Each row in OB52 is one **account type**: M is material, K vendor, S G/L. A goods receipt touches both stock and GR/IR, so both the M and the S row must include the current month; open M without S and the error points at a G/L account, which sends beginners off to check account configuration and further from the cause.

The order of the two periods

Open the material period first, then the accounting period (or both together). Open accounting only and the receipt reports "material period not open"; the other way round it reports "posting period not open". With both closed the accounting message comes first, so do not assume the material period is fine.

6. Pass criteria and common errors

- [ ] MB01 with 101, no PO, R-1002 / 1710 / 0002 / 50 / 100124: after ✓ the status bar shows both the material document and the PO number.
- [ ] ME23N opens the automatically created PO with the right quantity and net price (50 PC / 180.00 USD / 9,000.00 USD).
- [ ] MMBE shows the stock of R-1002 in 0002 rising from 20 to 70 PC.
- [ ] FB03 opens the accounting document: stock debit 9,000.00, GR/IR credit 9,000.00, balanced.
- [ ] Switch off Automatic purchase order on the material and receive again on purpose: the system must report "Please enter purchase order" instead of quietly creating one.
- [ ] Close MMPV into the next period and then post a receipt with this month's date: the system must report a material period error — the classic month-end symptom.

Screen message (as shown)	Root cause	Check first
Please enter purchase order	One of the four switches is off (most often at material or movement type level)	MM02 purchasing view, OMJJ 101 third indicator
No valid source found / no available source	No source list entry, or the source list requirement is not active at plant level	ME01 / ME03; IMG source list requirement
Vendor 100124 not maintained in purchasing organization 1710	The vendor has no purchasing organization data	BP / XK02 purchasing data
No net price could be determined	The info record is missing or has no price	ME11 / ME13
Material period 11/2026 is not open	MMPV has not been advanced to this period, or the receipt date falls in a closed period	MMRV / MMPV

Posting period is not open (period 11 2026)	The M or S account type in OB52 does not include the current month	OB52 / SU3 (user parameters)

When not to use automatic PO creation

Automatic creation suits small, low-value, verbally ordered purchases. It bypasses purchasing approval and price comparison, so for large amounts, contracts or framework agreements insist on creating the PO before the goods arrive. Many companies simply switch automatic creation off for 101 and use 501 (goods receipt without purchase order) to expense such deliveries — the difference being that 101 with automatic creation still goes into stock and still creates GR/IR, while 501 goes straight to an expense and never touches stock.